

• ODD CASE STUDY

The Abraaj Case

Where Did the Money Go?

The Collapse of Impact Private Equity

A structured analysis of cash commingling, governance concentration, valuation oversight, and key person control at Abraaj Group, and how a proper operational due diligence review would have tested the cash trail before USD 13 billion of investor confidence unwound.

\$13B Peak AUM across Africa, Asia, Latin America and the Middle East	\$1B Healthcare fund whose missing cash first broke investor confidence	O Standalone entity accounts a later PwC review could obtain to trace the cash
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- CASH COMMINGLING
- FUND GOVERNANCE
- VALUATION OVERSIGHT
- KEY PERSON CONCENTRATION

Abraaj Group was a Dubai based private equity firm focused on emerging markets. It built its reputation around a simple proposition: institutional capital could be deployed at scale in markets many traditional fund managers viewed as too complex to underwrite. Arif Naqvi appeared at Davos, co-chaired sessions with heads of state, and built a public profile few fund managers could match. At its peak, the firm managed more than USD 13 billion across Africa, Asia, Latin America, and the Middle East.

The firm's healthcare fund drew particular attention because it combined private equity, development finance, and a clear social mission. The USD 1 billion vehicle targeted hospitals, clinics, and diagnostic centers in underserved markets. Its investor base included the Bill & Melinda Gates Foundation, OPIC, PROPARCO, and IFC. The fund stated that it supported access to care for roughly two million patients each year. On paper, it was the kind of strategy that fit neatly into the rise of impact investing.

That halo made the collapse hard to read from the outside. Abraaj did not look like a marginal manager operating away from scrutiny. It had recognizable investors, a strong public narrative, and a founder who moved comfortably among global policy and finance circles. Every outward signal said institutional quality.

The unraveling began with a question no marketing deck could answer: where, exactly, was the healthcare fund's cash?

This article is not about whether Abraaj committed fraud. That question belongs to regulators and the courts. It is about whether a structured operational due diligence review would have surfaced the cash and control risks before they became a forensic problem. **The answer is yes.**

The Question That Broke Confidence

Investors had funded capital calls into the healthcare vehicle, yet the money had not moved into healthcare assets. When LPs asked where it sat and requested updated bank statements, the explanations did not resolve the concern. The matter escalated from ordinary questioning to forensic review.

That is the point where confidence broke. Abraaj did not fail because investors missed one weak sentence in a deck. It failed because ordinary reporting had stopped answering an ordinary question, and nothing beneath the public story could be independently checked.

The controls at stake were basic. Capital calls needed to match approved investments or expenses. Fund accounts needed to remain separate from manager liquidity. Intercompany movements needed formal approval and repayment records. Distributions needed to follow the agreed waterfall. Reporting needed to reconcile back to bank statements and entity level accounts. In private markets, these controls decide whether LP capital remains protected.

| Fund Governance Failed as a Practical Control System

The cash question exposed a governance question. If LP capital could be called, held, moved, or reported in ways investors could not verify, then the issue was not limited to accounting records. It also concerned who had authority inside Abraaj, who could challenge that authority, and whether formal oversight bodies received enough information to act.

The DFSA found that Arif Naqvi was Abraaj's largest shareholder, CEO, executive vice chair, public face, and dominant figure inside the firm. That concentration mattered because key decisions did not appear to move through a balanced internal process. Senior management ignored compliance concerns raised internally about unauthorized activity. The firm had committees, policies, and formal reporting lines, but the actual organization depended heavily on Naqvi and a small senior group around him.

The LPAC structure had the same practical limitation. It could only act on the information provided to it. If capital calls, fund expenses, intercompany movements, or exceptions were not reported clearly, the committee had little ability to intervene. Abraaj's governance problem was therefore direct: the formal structure existed, but the flow of authority and information did not give investors a reliable check on management.

| Cash Controls Were the Center of the Failure

In private markets, cash control is the boundary between investor capital and manager liquidity. At Abraaj, that boundary became one of the central issues in the collapse. The SEC alleged that investor money was commingled with corporate funds when it should have been held separately. The DFSA found that investor monies were used to cover operating expenses and cash shortfalls at the management company level.

AIML borrowed before reporting dates to show bank balances that would satisfy LP expectations, then repaid those balances after the relevant dates passed.

The problem turned on basic cash mechanics. Fund accounts, manager accounts, administrator access, and bank statement delivery all mattered. If LP capital and manager operating cash were not clearly separated, and if the administrator did not receive statements directly from the bank, investors had limited ability to verify where the money was. Intercompany transfers required the same discipline: loans or advances between a fund entity and the management company should carry formal approval, documented terms, and a visible repayment history.

| LP Reporting Did Not Close the Verification Gap

Abraaj's reporting described positions without proving the cash behind them. The DFSA found that AIML gave investors misleading financial information, made false statements about how money was being used, deflected requests for updated bank statements, and gave false explanations for delayed distributions. Those findings

concerned basic cash movements: where investor money sat, when it moved, why it moved, and whether the movement matched what LPs had been told.

A PwC review later found that standalone annual financial statements and standalone monthly management accounts could not be obtained for the relevant entities. Without entity level accounts, bank records, and reconciliations, investors could not trace capital from the call notice to the fund account, from the fund account to the investment or expense, and from exits back through the distribution process.

| Valuation and Track Record Oversight Needed Independent Challenge

Abraaj was raising successor capital on the strength of its prior record. In that setting, valuation was tied directly to fundraising: unrealized marks shaped reported performance, and reported performance shaped what new investors were asked to believe. The SEC alleged that a senior executive approved valuations he knew were inflated while resisting attempts by others to mark them down, and that potential investors were misled about the firm's financial health and a materially overstated track record.

The basic questions were practical. Who sat on the valuation committee, and who had independence from the deal team and the fundraising team? Who could override a valuation decision? How did fundraising materials separate gross, net, realized, and unrealized performance? Abraaj's case shows why valuation controls matter most when a manager is using its record to raise the next pool of capital.

Taken together, the regulatory record reduces to four findings:

Cash Commingling Fund capital diverted to management company working capital and shortfalls, per the SEC and DFSA.	Balance Window Dressing Borrowings timed around reporting dates so period end balances matched what LPs expected to see.
Reporting Gap No standalone entity accounts, so cash could not be traced from call to investment to exit.	Inflated Marks Valuations held above supportable levels while the record was used to raise the successor fund.

| Key Person Risk Became Control Risk

Key person risk usually starts with succession planning. At Abraaj, the larger issue was control. The founder sat at the center of fundraising, investor communications, cash decisions, and the handling of exceptions, the exact areas an independent check exists to police. When LPs pressed for answers, the responses themselves ran through him.

A control function cannot operate when it depends on the judgment or permission of the person it may need to challenge. So the practical key person question is not who replaces the founder. It is whether the firm can surface and escalate a serious problem involving its own senior leadership. At Abraaj, authority concentration made that close to impossible.

| What Proper ODD Would Have Prevented

The test is one day of cash: on request, could the fund produce direct bank evidence, administrator records, capital call support, and transaction level reconciliations for a single date? At Abraaj, the answers came back incomplete, delayed, and disputed. That was the signal.

None of this requires forensic skill before commitment. It requires an administrator that receives statements directly from the bank, intercompany transfers with documented terms and LPAC visibility, distributions that reconcile through the waterfall, and marks that can be supported outside the manager's own narrative. Each item is checkable on documents a manager either can or cannot produce.

| What LPs Should Learn

Abraaj did not collapse because investors missed a red flag in a marketing deck. It collapsed because investors could not rely on the operating structure underneath the manager's story. Reputation, mission, and a roster of institutional co-investors are not substitutes for verification.

Private market due diligence must go beyond what a manager says and test whether those statements can be confirmed by someone other than the manager. **That is the role of serious ODD: asking the structural questions before capital moves, before confidence breaks, and before the only remaining option is a forensic review.**



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